

Entrepreneurship

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UNDP (2010) defined entrepreneurship as the process of using private initiative to transform a business concept into a new venture or to grow and diversify an existing venture or enterprise with high growth potential. It is the act of being an entrepreneur, which can be defined as "one who undertakes innovations, finances organizations or may be part of revitalizing mature organizations into economic goods". This may result in opportunities within the economic system; the creation of new organizations; the willingness and ability of an individual to seek out investment opportunities in an environment and be able to establish and run an enterprise successfully based on the identifiable opportunities.

Entrepreneur

Pinson (2010) visualized an entrepreneur as a person who starts a business to follow a vision, to make money, to be the master of his/her own soul (both financially and spiritually) and is an "educated" risk taker. Murphy (2010) conceives an entrepreneur as a person who is dynamic and continues to seek opportunities and different methods of operation and will do whatever it takes to be successful in business. Entrepreneurship on the other hand, is the practice of beginning and developing new business ventures within the structure of an existing organization. It creates an entrepreneurial environment by allowing employees to use their entrepreneurial skills for the benefit of both an organization and the employee. Therefore, an entrepreneur is an employee who is tasked with developing an innovative idea within a company and can draw on its resources to do so.

Types of entrepreneur

Based on the interaction with the business environment, various types of entrepreneurs can emerge. To this effect, Rockstar (2008) identifies the four types of entrepreneurs as Innovative, Initiating, Fabian and Drone.

1. **Innovative:** This type of entrepreneur is preoccupied with introducing something new into the market, organization or nation. They are interested in innovations and invest substantially in research and development.
2. **Initiating:** These are also referred to as 'copy cats'. They observe an existing system and replicate it in a better manner. They could improve on an existing product, production process, technology and through their vision create something similar but better. This is the case of the student becoming better than the master!

3. *Fabian*: These are entrepreneurs that are very careful and cautious in adopting any changes. Apart from this, they are lazy and shy away from innovations. They only imitate if they see fit and have a clear and broad picture of things.

4. *Drone*: These are entrepreneurs that are resistant to change. They are considered as 'old school'. They prefer to stick to their traditional or orthodox methods of production and systems.

Characteristics of Successful Entrepreneurs

1. *Creative Mind*: Creativity is the major characteristic of entrepreneur. He should have the ability to create more value for their product and services. The business opportunity, creative imagination is regarded a unique asset in the business world.

2. *Confidence to Take Initiatives*: The business world of today is moving at a very fast speed and require timely and more effective decisions, planning and controlling to overcome the sudden challenges therefore, an entrepreneur should have the ability to take initiatives by producing new things, new methods of marketing the product and service as per expectation of the target customer.

3. *Ethical Standard*: The ethical standard of the business is that there should not be cheating, fraud and other commercial bribery in business. A good entrepreneur has the social, moral, and religious responsibility to follow the ethical standard of the business to earn profit and stay long in the market.

4. *Conceptual Skill*: Effective entrepreneur are characterized by their conceptual skills. Conceptual skills are specific abilities to analyze a situation, decision making, determine the root of any problem or opportunities and devise an appropriate plan.

5. *Versatile Knowledge*: An entrepreneur should have a versatile knowledge of his business as well as adequate knowledge of trade, finance, marketing, legal management issues, technical management concern, and other business areas.

6. *Knowledge of Market*: An entrepreneur should have sufficient knowledge of market as well as finding new market for expand their business. He should know the geographic, demographic, psychographics and behavioral changes in the market. Entrepreneur should be honest in dealing with others. He should provide qualitative product and services to their customer. He doesn't make any anti-social practices such as black marketing, smuggling, overcharging to earn profit.

7. *Energetic and Diligent*: Entrepreneur should be energetic and diligent person. He should complete their work in time. He must believe in this phrase "don't put off till tomorrow what you can do today." He is hardworking person and complete their all task as soon as possible.

8. *Responsive to Criticism and Suggestions*: An entrepreneur should respond to criticism intelligently. He should concentrate on customer criticism or complaints. He accepts criticism for their product and services and responds positively to overcome these complaints. An entrepreneur should have the aptitude for research and adaptability to apply scientific findings to complete and stay in business. He should be able to adopt the new technologies and produce the product or services and new method of marketing the product and services. Entrepreneur pays the attention toward suggestion from their co-workers, customer, suppliers, or venture distributors. If he collects the best idea from these resources, he should be carefully tried to implement these suggestions.

9. *Eligible to Evaluate Risks*: Although every business has some internal and external risk but entrepreneurs carefully evaluate these risks and implement their plan. Although there is no guarantee for success but the chances of success are more due to calculated venture planning.

10. *Self-Confident and Optimistic*: Effective entrepreneurs are characterized by self-confident and optimism. He is confident about their plans for their venture. Sometime he may be due to some critical situation in their venture but he faces these situations confidently. The major characteristics of the entrepreneur are the commitment toward organizational goals. He is willing to do anything and respond positively to venture challenges.

Entrepreneur vs. Manager:

The terms Entrepreneur and Manager are considered one and the same. But the two terms have different meanings. The following are some of the differences between a manager and an entrepreneur.

1. The main reason for an entrepreneur to start a business enterprise is because he comprehends the services in an enterprise established by someone.
2. An entrepreneur and a manager differ in their standing; an entrepreneur is the owner of the organization and he bears all the risk and uncertainties involved in running an organization where as a manager is an employee and does not accept any risk.
3. An entrepreneur and a manager differ in their objectives. Entrepreneur's objective is to innovate and create and he acts as a change agent where as a manager's objective is to supervise and create routines. He implements the entrepreneur's plans and ideas.

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4. An entrepreneur is faced with more income uncertainties as his income is contingent on the performance of the firm where as a manager's compensation is less dependent on the performance of the organization.

Development

Abiang (2010) defined development as the act or process of growth, progress and improvement within a physical setting. Hornby (2006) similarly defined development as the gradual growth of something so that it becomes more advanced and stronger.

Entrepreneurship Development (ED)

A worldwide consensus on the critical role of competitive markets and entrepreneurs in economic development has emerged in the last decade. In developing countries, the primary barrier to economic growth is often not so much with a scarcity of capital, labour or land, but it is the scarcity of both the dynamic entrepreneurs that can bring these together and the markets and mechanisms that can facilitate them in this task. Therefore, UNDP (2010) then defined entrepreneurship development as referring to the process of enhancing entrepreneurial skills and knowledge through structured training and institution building programmes. According to UNDP, ED aims to enlarge the base of entrepreneurs in order to hasten the pace at which new ventures are created. This accelerates employment generation and economic development. Entrepreneurship development focuses on the individual who wishes to start or expand a business. Furthermore, entrepreneurship development concentrates more on growth potential and innovation.

The Federal Government of Nigeria recognized the role entrepreneurship could play in jumpstarting the growth and development of the economy decided on two things in 2009, one, that entrepreneurship education should be made a general studies course for all undergraduates of the tertiary institutions. The second was that a Centre for entrepreneurial development be established in each of the tertiary institutions where different skills would be taught. At the end of their programme of study, graduates of the tertiary institutions would be able to set up their own businesses with a view to contributing to the economy.

Management

Management refers to the process of using men, money, machines, material and processes through proper direction, coordination and integration of several activities so as to produce desired results and attain predetermined goals. In other words, management consists of a series of activities classified into various functions like planning, organizing, staffing, directing and controlling.

Characteristics of Management

1. *Management is universal*: It means that management is required for every type of organization. It may be a business organization or social or political. It may be a small firm or a large one.
2. *Management is goal directed*: Every organization is created to achieve certain goals. For example, for a business firm it may be to make maximum profit and/or to provide quality products and services.
3. *Management of an organization is always aimed at achievement of the organisational goals*.
4. *Management is a continuous process*: Management is an ongoing process. It continues as long as the organization exists. No activity can take place without management. To perform all activities in a coordinated manner to achieve desired result. In fact, without integration of men, machine and material and coordination of individual efforts to contribute successfully as a team, it will be difficult to achieve organisational goals.
5. *Management is intangible*: Management is not a place or something that can be touched. It is an unseen force and you can feel its presence in the form of rules, regulation, output, work climate, etc.
6. *Management is multi-disciplinary*: Management of an organization requires wide knowledge about various disciplines as it covers handling of man, machine, material and looking after production, distribution, accounting and many other functions. Thus, we find the principles and techniques of management are mostly drawn from almost all fields of study like - Engineering, Economics, Sociology, Psychology, Anthropology, Mathematics, Statistics etc.
7. *Management is a social process*: The most important aspect of management is handling people organized in work groups. This involves developing and motivating people at work and taking care of their satisfaction as social beings. All managerial actions are primarily concerned with relations between people and so it is treated as a social process.
8. *Management is situational*: The success of management depends on, and varies from, situation to situation. There is no best way of managing. The techniques and principles of management are relative, and do not hold good for all situations to come.

Theories of Entrepreneurship

Economic theory of Mark Casson: According to this theory, the development of any economy is based on dissatisfaction of present level. The hunger to know something new will give birth to introduce a change in the

society. An entrepreneur is playing an important role in this process. He has capacity to introduce change in society. So to change the societal lifestyle entrepreneurs are needed, but it's not easy to generate entrepreneurs.

Schumpeter's X-efficiency theory: An entrepreneur is a person who utilizes the resources in a productive manner. X-efficiency is the theory developed to measure the degree of utilization of the resources applied. Up to what extent the firm is successively able to utilize the resources.

Schumpeter's Innovation Theory: Austrian Economist Joseph Schumpeter identified innovation as the critical dimension of economic change. According to him innovation is the prime identity of an entrepreneur. The word innovation should be used in a broader sense. It includes introduction of a new product, new method of production, finding a new market, introducing new source of raw material etc.

Harvard School Theory: According to Harvard School Theory entrepreneurial activity is divided into two parts managing inside as well as understanding outside. According to changes taking place in socio, eco and political environment entrepreneur has to be alert, adapting changes and converting them into opportunity. He is also taking care as a manager of the firm. Coordinating business activity and taking decisions in time.

Theory of high achievement: This theory explains that every human being is having keen desire to achieve something. The intensity for achievement may vary from person to person. But everyone is eager to and ever interested in achieving something extraordinarily great and outstanding. Any common man is having such desire.

The intense desired people can become entrepreneur.

Prof's Theory: It is given by Frank H. Knight. An entrepreneur is getting reward of risk and uncertainty, according to him. Knight clarifies the difference between risk and uncertainty. In any business there are two types of risks; insurable and non-insurable risk. The risk which can be compensated by insurance company like loss due to theft, fire or any natural calamity can be compensated by insurance company, but certain risks like competition, reduction in demand, change in government policy etc. are non-insurable risk. Because of such non insurable factors uncertainty takes place in the business. Entrepreneur has to prove his ability to overcome these risks. He is rewarded by profit for bearing such risks.

Economic incentive theory: The theory is gifted by G.F. Papanek and J.R. Harris. In this theory it is explained that development of entrepreneurship and economic development take place in availability of most convenient factors and environment. The main reason to become an entrepreneur is to earn high profit - greater economic incentive. Compare to any factor of productions, entrepreneurship is the highest rewarding. So getting higher incentive is one of the major factors of becoming an entrepreneur.

Frank Young's Theory: According to this theory, entrepreneurship is not an individual development but it is developed by the group of entrepreneurs, as the groups have better capacity to face challenge. Any new industrial enterprise is a group efforts and not individual venture is the basic belief behind this theory.

Max Weber's theory: In the theory of Max Weber, the impact of religious and cultural background on entrepreneurship is highlighted. Every person is highly under influence of his religious background. Any activity done by him will be motivated by his religious belief. Selection of activity will be also under the shadow of sect. Any activity which is opposite to his religious belief, may be rejected.

Social change theory: Everett Hagen has presented this theory. Inferior position in a society gives birth to feelings of dissatisfaction and hatred. To regain the status one wishes to prove himself. This is one of the important causes of innovation, creativity and new product development.

Concept of Business

The concept business has been defined in different ways by various authors. It has been viewed as an organization or economic system where goods and services are exchanged for one another or for money (BusinessDictionary.com, 2010).

A business is also conceived as a legally recognized organization. It is also referred to as: enterprise, business enterprise, commercial enterprise, company, firm, profession or trade operated for the purpose of earning a profit by providing goods or services, or both to consumers, businesses and governmental entities (Sullivan and Sheffrin, 2003; AllBusiness.com, 2010).

Whatever is the definition of business, it should be known that a business is any undertaking that deals with the production and distribution of goods and services that satisfy human needs and wants. Businesses do not exist out of the 'blues'. They are created by a special kind of labour called the entrepreneur. However, once businesses have been created the entrepreneur has to organize all the factors of production to ensure that the business survives.

Business Enterprise

Business enterprise means an organizational context within which men, ideas, money, materials and machines are combined for the purpose of providing needed goods or services, in order to make a profit. However, for any commercial activity to be qualified as business, it must be legal with societal interest paramount to the survival of such business. Enterprise forms the economic backbone of a nation. Enterprises can be owned by individuals: the public or private citizens. Though there are fundamental differences between the two, societies enterprises benefit by being publicly owned and others by being privately held.

Public Enterprise: a public enterprise is an enterprise or business that the public, often the government, controls. They are establishments and corporations came into being through the act of parliament, decrees or edicts of the

and run by government. Since the government is an agent of the people, or public, ownership by the government is the ultimate form of public ownership, particularly in a democratic nation. In theory, you and every other citizen have an ownership interest in a government-owned or controlled public company. The government has the final say on the directors of the enterprise and major policy decisions. Any profits are either invested back into the company, or they go to the government.

Public Pros/Cons: Public ownership and control is beneficial in enterprises that are too big and important to society to allow for the development of significant competition. These types of enterprises, such as utilities or transit systems, cannot operate with a high degree of profit. It requires huge amounts of cash to start without a large return. These types of enterprises do not interest most investors, but society would struggle to function without them. Government, since it operates for the benefit of the public and not under a profit motive, will take the responsibility for these enterprises. It has the ability to fund any shortfalls with tax money, so the enterprises will not fail, and society's needs are securely met. However, since there is no competition, there is no urgent need for these enterprises to innovate or cater to consumer desires. This increases the potential for inefficiency.

Private Enterprise: a private enterprise is one that private citizens own or control. This can be anything from sole ownership to large publicly traded corporations. Rather than the government, the owners choose the board of directors of a private enterprise, and profits distributed among the owners or shareholders. The government has no direct say in the running of the enterprise. This type of enterprise is also known as free enterprise.

Private Pros/Cons: private enterprises are driven by competition in the free market and the reach for greater profits. They are forced to innovate and to keep the consumer happy or risk going out of business. Since it must be profitable, a private enterprise must maximize efficiency, which eventually trickles down to lower prices for consumers. Competition and the drive for efficiency promote innovation and the development of new technologies.

However, the motivation to earn profits sometimes encourages enterprises to choose profit over societal concerns such as safety, health or ethical concerns. In its worst form, short-term profit takes precedence over long-term interests.

Joint Ventures: many large concerns that affect the public are joint ventures between the public and private sectors. Enterprises that require a large amount of start-up capital but that will not show a lot of short-term income are the type of enterprises that fit this definition. Joint technology initiatives, where the government invests significant capital into a private corporation in return for use of the technology in military and government applications, are one example.

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Forms of Business Ownership

Whether small or large, every business fits one of three categories of legal ownership, sole proprietorship, partnership, and corporations:

Sole Proprietorship

3 The sole proprietorship is the simplest and most popular form of ownership. This form of business ownership is designed for a business owned and managed by one individual. Sole proprietorship is the easiest kind of business for you to explore in your quest for an interesting career. The sole proprietor is the easiest and ultimate decision maker for the business. The sole proprietor is the only owner who makes the sole proprietorship the most popular form of ownership in Nigeria. Although sole proprietorships are common in a variety of industries, they are concentrated primarily among small businesses such as restaurants, shops, small retail outlets, and service providers, for example, such as painters, plumbers, and barbing saloons.

Advantages of proprietorship: Following are the advantages of proprietorship 1) Least cost of business ownership to establish 2) Minimum or no special legal restriction 3) Ownership of all profit 4) No special tax since business income and proprietors' income are taxed as one. 5) Maximum incentive to succeed 6) Privacy Flexibility of operation 8) Easy to discontinue

Disadvantages of proprietorship: Following are the disadvantages of proprietorship 1) Unlimited personal liability 2) Limited access to capital for expansion 3) Limited skills and abilities 4) Feelings of isolation/overwhelming time commitment 5) Few fringe benefits 6) Limited growth 7) Lack of continuity for the business that has a limited life span.

Partnership

Another option for organizing a business is to form a partnership. A partnership is a legal form of business with two or more owners. Partners legally share a business asset, liabilities, and profits according to the terms of a partnership agreement. The law does not require a written partnership agreement, also known as the articles of partnership, but it is wise to work with an attorney to develop an agreement that documents the status, rights and responsibilities of each partner. The partnership agreement is a document that states all of the terms of operation the partnership for the protection of each partner involved. Banks often want to review the partnership agreement before lending the business money.

A *partnership agreement* can include any legal terms the partner's desire. The standard partnership agreement will likely include the following information: 1) Name of the partnership 2) Purpose of the business Location of the business 4) Duration of the partnership 5) Names of the partners and their legal addresses 6) Contributions of each partner to the business, at the creation of the partnership and later. 7) Agreement on how e profits or losses will be distributed. 8) Agreement on salaries or drawing rights against people for each partner. 9) Procedure for expansion through the addition of new partners. 10) Distribution of the partnership asset to the partners. (11) Sale of the partnership interest 12) Absence or disability of one of the partners. 13) Voting rights 4) Decision making authority 15) Financial authority 16) Handling tax matters 17) Alteration or modifications of the partnership agreement. 18) Termination of partnership 19) Distribution of assets upon dissolution of the partnership A Partnership can be regarded as an improvement on sole proprietorship form of business organization, the minimum number of people that can form a partnership is two, while the maximum is twenty, with the exception of partnerships comprising professionals; for example, lawyers, accountants, doctors, to mention just a few. Notably, most partnerships are usually formed by professionals and those that engage in service oriented business concerns.

Types of Partnership: There are four types of partnership, on the basis of liability of partners (1) *General partnership:* This is a partnership in which all owners share in operating the business and in assuming liability for the business' debts. (2) *Limited partnership:* This is a partnership with one or more general partners and one or more limited partners. Limited partnership is one in which certain partners are liable only for the amount of their investment. This is a special kind of partnership governed by partnership Act of 1907. The purpose of a limited partnership is to allow one or more individuals to provide capital on which a return is expected. In case of liquidation, the limited partners only lose the capital. (3) *Master Limited Partnership (MLP):* This is a newer form of partnership which looks much like a corporation in that it acts like a corporation and is traded on the stock exchanges like a corporation but it is taxed like a partnership and thus avoids the corporate income tax. (4) *Limited Liability Partnership (LLP):* LLP limited partners risk losing their personal assets to only their own acts and omissions of people under their supervision. This newer type of partnership was created to limit the disadvantage of unlimited liability.

Types of partners on the basis of their involvement in partnership: An entrepreneur interested in being involved in partnership form of business should endeavor to understand the types of partners that he/she can choose to be in this form of business. Partners may be classified on the basis of liability, degree of management participation in management share in the profit and so on. The following types of partners are organized 1) *General partner:* A general partner is an owner (partner) who has unlimited liability and is active in managing the firm. 2) *Limited*

partner. A limited partner is an owner who invests money in the business but does not have any managerial responsibility or liability for losses beyond the investment. 3) *Silent partners*: These are partners who are known by the public as owners of the business, but they may take no active role in marketing the business. 4) *Secret partners*: These are partners who take an active role in the management of the company but they are unknown to the outsiders as partners. 5) *Sleeping partners*: These are also known as dormant partners, are neither known to the partners by the public nor do they participate in managing the company. They only share from the profit/loss of the business to the tune of capital contributed. 6) *Nominal partners*: These kinds of partners are publicly known but they are partners although they have no investment in the business and therefore have no rights of management. They merely lend their names to the enterprise and may be liable for certain debt of the partnership.

Advantages of Partnership: The following are the advantages of Partnership

1. Easy to establish
2. More financial resources
3. Shared management and pooled/complementary skills and knowledge
4. Division of profits
5. Minimum governmental regulation/limited legal restrictions
6. Flexibility
7. Freedom from double taxation
8. Secrecy
9. Longer survival

Disadvantages of Partnership: The following are the disadvantages of Partnership:

1. Unlimited liability
2. Division of profits
3. Disagreement among partners especially with regard to authority and control
4. Difficult to terminate because partners are bound by the law of agency
5. Restrictions on transfer of ownership
6. Lack of continuity

Dissolution and Termination of a Partnership

Partners expect their business relationships are going to last forever. However, most businesses do not have these possibilities that problems may occur when the entrepreneur realizes he or she is not in charge of his or her own company. Even when partnerships work, there are always fears that the partners will develop different

business goals. Partners may dissolve or terminate the partnership. Thus dissolution occurs when a general partner ceases to be associated with the business. This may be as a result of:

1. Expiration of a time period or completion of the project undertaken as delineated in the partnership agreement.
2. Expressed wish of any general partner to cease operation.
3. Expulsion of a partner under the provisions of the agreement.
4. Withdrawal, retirement, insanity, or death of a general partner (except when the partnership agreement provides a method of continuation).
5. Bankruptcy of the partnership or of any general partner.
6. Admission of a new partner resulting in the dissolution of the old partnership and establishment of a new partnership.
7. A judicial decree that a general partner is insane or permanently incapacitated, making performance or responsibility under the partnership agreement impossible.
8. Mounting losses that make it impractical for the business to continue.

Termination on the other hand is the final act of intentionally closing the partnership as a business. This can occur after the partners have agreed to cease operations and all affairs of the partnership have been concluded.

Co-operative

A form of business ownership which involves a collective ownership of a production, storage, transportation or marketing organization is what is referred to as a co-operative. Some individuals dislike the notions of having owners, managers, workers and buyers as separate parties with separate goals for business organization. They envision a situation whereby people will co-operate with one another as an association and share the wealth more evenly. This is what necessitates the form of business ownership referred to as cooperatives.

Types of Co-operative

1. Consumer/producer co-operative
2. Workers co-operative
3. Finance co-operatives

Co-operatives allow small businesses to obtain quantity discounts on purchases, reducing costs and enabling the co-operative to pass on the savings to its members.

Objectives of Business Organization

It is generally believed that a business has a single objective, that is, to make profit. But it cannot be the only objective of business. While pursuing the objective of earning profit, business units do keep the interest of their owners in view. However, any business unit cannot ignore the interests of its employees, customers, the community, as well as the interests of society as a whole.

1. *Economic Objectives:* Economic objectives of business refer to the objective of earning profit and also other objectives that are necessary to be pursued to achieve the profit objective, which include, creation of customers, regular innovations and best possible use of available resources.
2. *Social Objectives:* Social objectives are those objectives of business, which are desired to be achieved for the benefit of the society. Since business operates in a society by utilizing its scarce resources, the society expects something in return for its welfare. No activity of the business should be aimed at giving any kind of trouble to the society. If business activities lead to socially harmful effects, there is bound to be public reaction against the business sooner or later. Social objectives of business include production and supply of quality goods and services, adoption of fair trade practices and contribution to the general welfare of society and provision of welfare amenities.
3. *Human Objectives:* Human objectives refer to the objectives aimed at the well-being as well as fulfillment of expectations of employees. The human objectives of business may thus include economic well-being of the employees, social and psychological satisfaction of employees and development of human resources.
4. *National Objectives:* Being an important part of the country, every business must have the objective of fulfilling national goals and aspirations. The goal of the country may be to provide employment opportunity to its citizen, earn revenue for its exchequer, become self-sufficient in production of goods and services, promote social justice, Production according to national priority, Contribute to the revenue of the country, Self-sufficiency and Export Promotion. Business activities should be conducted keeping these goals of the country in mind, which may be called national objectives of business.
5. *Global Objectives:* Today because of globalization the entire world has become a big market. Goods produced in one country are readily available in other countries. So, to face the competition in the global market every business has certain objectives in mind, which may be called the global objectives. They include:
 1. To raise general standard of living
 2. To reduce disparities among nations
 3. To make available globally competitive goods and services

SWOT Analysis

SWOT is an acronym for Strengths, Weaknesses, Opportunities and Threats. By definition, Strengths (S) and Weaknesses (W) are considered to be internal factors over which you have some measure of control. Also, by definition, Opportunities (O) and Threats (T) are considered to be external factors over which you have essentially no control.

SWOT Analysis is the most renowned tool for audit and analysis of the overall strategic position of the business and its environment. Its key purpose is to identify the strategies that will create a firm specific business model that will best align an organization's resources and capabilities to the requirements of the environment in which the firm operates.

In other words, it is the foundation for evaluating the internal potential and limitations and the probable/likely opportunities and threats from the external environment. It views all positive and negative factors inside and outside the firm that affect the success. A consistent study of the environment in which the firm operates helps in forecasting/predicting the changing trends and also helps in including them in the decision-making process of the organization. An overview of the four factors (Strengths, Weaknesses, Opportunities and Threats) is given below-

Strengths - Strengths are the qualities that enable us to accomplish the organization's mission. These are the basis on which continued success can be made and continued/sustained.

Strengths can be either tangible or intangible. These are what you are well-versed in or what you have expertise in, the traits and qualities your employees possess (individually and as a team) and the distinct features that give your organization its consistency.

Strengths are the beneficial aspects of the organization or the capabilities of an organization, which includes human competencies, process capabilities, financial resources, products and services, customer goodwill and brand loyalty. Examples of organizational strengths are huge financial resources, broad product line, no debt, committed employees, etc.

Weaknesses - Weaknesses are the qualities that prevent us from accomplishing our mission and achieving our full potential. These weaknesses deteriorate influences on the organizational success and growth. Weaknesses are the factors which do not meet the standards we feel they should meet.

Weaknesses in an organization may be depreciating machinery, insufficient research and development facilities, narrow product range, poor decision-making, etc. Weaknesses are controllable. They must be

minimized and eliminated. For instance - to overcome obsolete machinery, new machinery can be purchased. Other examples of organizational weaknesses are huge debts, high employee turnover, complex decision making process, narrow product range, large wastage of raw materials, etc.

Opportunities - Opportunities are presented by the environment within which our organization operates. These arise when an organization can take benefit of conditions in its environment to plan and execute strategies that enable it to become more profitable. Organizations can gain competitive advantage by making use of opportunities.

Organization should be careful and recognize the opportunities and grasp them whenever they arise. Selecting the targets that will best serve the clients while getting desired results is a difficult task. Opportunities may arise from market, competition, industry/government and technology. Increasing demand for telecommunications accompanied by deregulation is a great opportunity for new firms to enter telecom sector and compete with existing firms for revenue.

Threats - Threats arise when conditions in external environment jeopardize the reliability and profitability of the organization's business. They compound the vulnerability when they relate to the weaknesses. Threats are uncontrollable. When a threat comes, the stability and survival can be at stake. Examples of threats are - unrest among employees, ever changing technology, increasing competition leading to excess capacity, price wars and reducing industry profits, etc.

Advantages of SWOT Analysis

SWOT Analysis is instrumental in strategy formulation and selection. It is a strong tool, but it involves a great subjective element. It is best when used as a guide, and not as a prescription. Successful businesses build on their strengths, correct their weakness and protect against internal weaknesses and external threats. They also keep a watch on their overall business environment and recognize and exploit new opportunities faster than its competitors.

SWOT Analysis helps in strategic planning in following manner-

- a. It is a source of information for strategic planning.
- b. Builds organization's strengths.
- c. Reverse its weaknesses.
- d. Maximize its response to opportunities.
- e. Overcome organization's threats.

- f. It helps in identifying core competencies of the firm.
- g. It helps in setting of objectives for strategic planning.
- h. It helps in knowing past, present and future so that by using past and current data, future plans can be chalked out.

SWOT Analysis provide information that helps in synchronizing the firm's resources and capabilities with the competitive environment in which the firm operates.

Limitations of SWOT Analysis

SWOT Analysis is not free from its limitations. It may cause organizations to view circumstances as very simple because of which the organizations might overlook certain key strategic contact which may occur. Moreover, categorizing aspects as strengths, weaknesses, opportunities and threats might be very subjective as there is great degree of uncertainty in market. SWOT Analysis does stress upon the significance of these four aspects, but it does not tell how an organization can identify these aspects for itself.

There are certain limitations of SWOT Analysis which are not in control of management. These include-

- a. Price increase;
- b. Inputs/raw materials;
- c. Government legislation;
- d. Economic environment;
- e. Searching a market for the product which is not having overseas market due to import restrictions; etc.

Internal limitations may include-

- a. Insufficient research and development facilities;
- b. Faulty products due to poor quality control;
- c. Poor industrial relations;
- d. Lack of skilled and efficient labour; etc

Feasibility Studies

Feasibility studies comprise comprehensive, detailed information about ones' business structure, the products and services, the market, logistics of how one will actually deliver a product or service, the resources one needs to make the business run effectively, as well as other information about the business (Women in

Business, 2010). According to them, the information you gather and present in your feasibility study will help you. It serves as the standard or yardstick for assessing performance of envisaged business.

Components of Feasibility Studies

Executive Summary: The Executive Summary is a summary of all key sections of the Business Feasibility Study and should work as a separate, stand-alone document. Key points to remember include: Write this document after the content section of Business Feasibility Study is completed. Although the Executive Summary is written last, it is presented first. The Executive Summary should be no more than one-page long.

Product/Service: Describe the enterprises, product and service in simple language. It describes how customers would use and buy the product or service.

Technology: As necessary, provide further technical information about the product or service. It describes additional or ongoing research and development needs.

Intended Market Environment (Target Market): Define and describe the target market(s). Distinguish between end users and customers. For business-to-business markets, include: What industry is the target market, who are the key players, frequency of product purchase, replacement needs versus expansion, purchasing process? For business-to-consumer markets, include: Demographic factors, such as income level, age range, gender, educational level, and ethnicity.

Competition: Describe direct and indirect competition (as it pertains to the target markets only). For each competitor, give market share, resources, product and market focus, goals, strategies, strengths and weaknesses. List all key barriers to entry. **Industry:** Clearly define and describe the industry in which the enterprise operates. Include the size, growth rate, and outlook. Define key industry segments and state where enterprise fits in.

Business Model: Describe the proposed enterprise's business model. How will the business generate revenue? Will the product charge licensing, retail sales? Will there be recurring revenue?

Marketing and sales strategy: Lay out the basic marketing and sales strategies. Describe the pricing strategy justification. Include the expected gross profit margins.

Production / operating requirements: Describe enough of how and where the enterprise will manufacture, store, or create and deliver the final product or service to be able to estimate costs. Will space be owned or leased? What renovations be required? At what cost?

Management and personnel. List the proposed key managers, titles, responsibilities, relevant background, experience, skills, and costs. Sketch personnel requirements: what people will be needed now, in a year, in the long term? What skills and qualifications are required and what financial implications result?

Regulations/environmental issues: Outline non-economic forces that might affect the prospects of the firm: Key government regulations and the enterprise's plans for compliance; any environmental problems on property, plans to address the problems, and their cost and Political stability, if applicable.

Financial Projections: Some core components of this part of the report are listed below: Balance Sheet Projections - Three Years & Highlight Inflows of Capital; Income Projections - Year 1: Monthly or quarterly; Years 2 and 3: Annually; Cash Flow Projections - Year 1: Monthly or quarterly; Years 2 and 3: Annually; Break-Even Analysis - When will the firm begin to turn a profit, and Cost Benefit Analysis - Will the business provide viable return on investment for the owner and/or the investors?

Capital requirements & strategy: How much funding (equity) will the firm need, and when? What projected revenue or assets does the proposed business have to secure the financing? What sources will provide the funding, e. investors, lending institutions etc? What ratio of debt to equity financing will occur? When will investors begin to see a return? What is the expected return on investment (ROD)?

Final findings & recommendations: recommendations from the feasibility study regarding the viability of putting the business idea into practice should be honest, short and direct. When making the findings or recommendations arising from the Business Feasibility Study discuss the viability of the proposed business venture in terms of:

1. Market Viability
2. Technical Viability
3. Business Model Viability
4. Management Model Viability
5. Economic and Financial Model Viability
6. Exit Strategy Viability

A significant component of the findings should relate to the likelihood of success, projected return on investment and how any identified risk should be mitigated.

Importance of Market Analysis in a Feasibility Study

Market analysis is central in writing a feasibility study as it enables the potential business owner to be aware of the market it intends to operate, it will give an estimated market potential, the shares of the existing marketers, extent of competition, the current strategies of the existing operators. Equipped with this information will enable the potential entrepreneur whether to continue or look elsewhere.

Business Plan

Business plan is a written document describing the nature of the business, the sales and marketing strategy, and the financial background, and containing a projected profit and loss statement

A business plan is also a road map that provides directions so a business can plan its future and helps it avoid bumps in the road. The time you spend making your business plan thorough and accurate, and keeping it up-to-date, is an investment that pays big dividends in the long term.

Your business plan should conform to generally accepted guidelines regarding form and content. Each section should include specific elements and address relevant questions that the people who read your plan will most likely ask. Generally, a business plan has the following components:

Title Page and Contents

A business plan should be presented in a binder with a cover listing the name of the business, the name(s) of the principal(s), address, phone number, e-mail and website addresses, and the date. You don't have to spend a lot of money on a fancy binder or cover. Your readers want a plan that looks professional, is easy to read and is well-put-together.

Include the same information on the title page. If you have a logo, you can use it, too. A table of contents follows the executive summary or statement of purpose, so that readers can quickly find the information or financial data they need.

Executive Summary

The executive summary, or statement of purpose, succinctly encapsulates your reason for writing a business plan. It tells the reader what you want and why, right up front. The summary or statement should be more than half a page in length and should touch on the following key elements:

1. Business concept describes the business, its product, the market it serves and the business' competitive advantage.
2. Financial features include financial highlights, such as sales and profits.

3. Financial requirements state how much capital is needed for startup or expansion, how it will be used and what collateral is available.
4. Current business position furnishes relevant information about the company, its legal form of operation, when it was founded, the principal owners and key personnel.
5. Major achievements: points out anything noteworthy, such as patents, prototypes, important contracts regarding product development, or results from test marketing that have been conducted.

Description of the Business

The business description usually begins with a short explanation of the industry. When describing the industry, discuss what's going on now as well as the outlook for the future. Do the necessary research so you can provide information on all the various markets within the industry, including references to new products or developments that could benefit or hinder your business. Base your observations on reliable data and be sure to footnote and cite your sources of information when necessary. Remember that bankers and investors want to know hard facts—they won't risk money on assumptions or conjecture.

When describing your business, say which sector it falls into (wholesale, retail, food service, manufacturing, hospitality and so on), and whether the business is new or established. Then say whether the business is a sole proprietorship, partnership, C or Sub Chapter S corporation. Next, list the business' principals and state what they bring to the business. Continue with information on who the business' customers are, how big the market is, and how the product or service is distributed and marketed.

Description of the Product or Service

The business description can be a few paragraphs to a few pages in length, depending on the complexity of your plan. If your plan isn't too complicated, keep your business description short, describing the industry in one paragraph, the product in another, and the business and its success factors in two or three more paragraphs. When you describe your product or service, make sure your reader has a clear idea of what you're talking about. Explain how people use your product or service and talk about what makes your product or service different from others available in the market. Be specific about what sets your business apart from those of your competitors. Then explain how your business will gain a competitive edge and why your business will be profitable. Describe the factors you think will make it successful. If your business plan will be used as a financing proposal, explain why the additional equity or debt will make your business more profitable. Give hard facts, such as "new equipment will create an income stream of \$1,000,000 per year" and briefly describe how.

Other information to address here is a description of the experience of the other key people in the business. Whoever reads your business plan will want to know what suppliers or experts you've spoken to about your business and their response to your idea. They may even ask you to clarify your choice of location or reasons for selling this particular product.

Market Analysis

A thorough market analysis will help you define your prospects as well as help you establish pricing, distribution, and promotional strategies that will allow your company to be successful vis-à-vis your competition, both in the short and long term.

Begin your market analysis by defining the market in terms of size, demographics, structure, growth prospects, trends, and sales potential. Next, determine how often your product or service will be purchased by your target market. Then figure out the potential annual purchase. Then figure out what percentage of this annual sum you either have or can attain. Keep in mind that no one gets 100 percent market share, and that something as small as 25 percent is considered a dominant share. Your market share will be a benchmark that tells you how well you're doing in light of your market-planning projections.

You'll also have to describe your positioning strategy. How you differentiate your product or service from that of your competitors and then determine which market niche to fill is called "positioning." Positioning helps establish your product or service's identity within the eyes of the purchaser. A positioning statement for a business plan doesn't have to be long or elaborate, but it does need to point out who your target market is, how you'll reach them, what they're really buying from you, who your competitors are, and what your USP (unique-selling proposition) is.

How you price your product or service is perhaps your most important marketing decision. It's also one of the most difficult to make for most small business owners, because there are no instant formulas. Many methods of establishing prices are available to you, but these are among the most common:

1. Cost-plus pricing is used mainly by manufacturers to assure that all costs, both fixed and variable, are covered and the desired profit percentage is attained.
2. Demand pricing is used by companies that sell their products through a variety of sources at different prices based on demand.
3. Competitive pricing is used by companies that are entering a market where there's already an established price and it's difficult to differentiate one product from another.

4 Markup pricing is used mainly by retailers and is calculated by adding your desired profit to the cost of the product.

You'll also have to determine distribution which includes the entire process of moving the product from the factory to the end user. Make sure to analyze your competitors' distribution channels before deciding whether to use the same type of channel or an alternative that may provide you with a strategic advantage.

Finally, your promotion strategy should include all the ways you communicate with your markets to make them aware of your products or services. To be successful, your promotion strategy should address advertising, packaging, public relations, sales promotions and personal sales.

Competitive Analysis

The purpose of the competitive analysis is to determine:

1. the strengths and weaknesses of the competitors within your market.
2. strategies that will provide you with a distinct advantage.
3. barriers that can be developed to prevent competition from entering your market.
4. any weaknesses that can be exploited in the product development cycle.

The first step in a competitor analysis is to identify both direct and indirect competition for your business both now and in the future. Once you've grouped your competitors, start analyzing their marketing strategies and identifying their vulnerable areas by examining their strengths and weaknesses. This will help you determine your distinct competitive advantage.

Whoever reads your business plan should be very clear on who your target market is, what your market niche is, exactly how you'll stand apart from your competitors, and why you'll be successful doing so.

Operations and Management

The operations and management component of your plan is designed to describe how the business functions on a continuing basis. The operations plan highlights the logistics of the organization, such as the responsibilities of the management team, the tasks assigned to each division within the company, and capital and expense requirements related to the operations of the business.

Financial Components of Your Business Plan

After defining the product, market and operations, the next area to turn your attention to are the three financial statements that form the backbone of your business plan: the income statement, cash flow statement, and balance sheet.

The income statement is a simple and straightforward report on the business' cash-generating ability. It is a scorecard on the financial performance of your business that reflects when sales are made and when expenses are incurred. It draws information from the various financial models developed earlier such as revenue, expenses, capital (in the form of depreciation), and cost of goods. By combining these elements, the income statement illustrates just how much your company makes or loses during the year by subtracting cost of goods and expenses from revenue to arrive at a net result, which is either a profit or loss.

The cash flow statement is one of the most critical information tools for your business, since it shows how much cash you'll need to meet obligations, when you'll require it and where it will come from. The result is the profit or loss at the end of each month and year. The cash flow statement carries both profits and losses over to the next month to also show the cumulative amount. Running a loss on your cash flow statement is a major red flag that indicates not having enough cash to meet expenses-something that demands immediate attention and action.

The cash flow statement should be prepared on a monthly basis during the first year, on a quarterly basis for the second year, and annually for the third year.

The last financial statement you'll need is a balance sheet. Unlike the previous financial statements, the balance sheet is generated annually for the business plan and is, more or less, a summary of all the preceding financial information broken down into three areas: assets, liabilities and equity.

Balance sheets are used to calculate the net worth of a business or individual by measuring assets against liabilities. If your business plan is for an existing business, the balance sheet from your last reporting period should be included. If the business plan is for a new business, try to project what your assets and liabilities will be over the course of the business plan to determine what equity you may accumulate in the business. To obtain financing for a new business, you'll need to include a personal financial statement or balance sheet.

In the business plan, you'll need to create an analysis for the balance sheet just as you need to do for the income and cash flow statements. The analysis of the balance sheet should be kept short and cover key points.

Supporting Documents

In this section, include any other documents that are of interest to your reader, such as your resume; contracts with suppliers, customers, or clients, letters of reference, letters of intent, copy of your lease and any other legal documents, tax returns for the previous three years, and anything else relevant to your business plan.

Some people think you don't need a business plan unless you're trying to borrow money. Of course, it's true that you do need a good plan if you intend to approach a lender--whether a banker, a venture capitalist or any number of other sources--for startup capital. But a business plan is more than a pitch for financing; it's a guide to help you define and meet your business goals.

As you research and prepare your business plan, you'll find weak spots in your business idea that you'll be able to repair. You'll also discover areas with potential you may not have thought about before--and ways to profit from them. Only by putting together a business plan can you decide whether your great idea is really worth your time and investment.

Sources of Business Finance

Acquisition and allocation of funds is central to the success of any business venture. One of the main problems facing effective management of small scale enterprises is lack of basic financial management skills needed to guide the business venture. These skills include the ability to keep appropriate records of financial transactions, financial control, credit management, risk management, personal financial discipline of the entrepreneur and inability to see the business as separate from the owners. For a business venture to externally raise capital needed for its operation the financial institutions require a level of minimum compliance with the basic issues raised above.

Sources of Funds for Venture Operation

The various sources of funds for business ventures are classified under the following:

1. Personal and family

Personal savings: - It is expected that an individual that wants to start a business should be able to have saved part of the funds required for the business. This is necessary because relying on borrowed funds may be too dangerous for a new venture. It is also a way of motivating the owner to know that if the venture fails the lifesaving will be lost.

Loan from family and friends: - Family members often want to support other family members venturing into business, hence part of the venture funds is contributed in form of loans or gifts. Also, friends support through loans and sometimes gifts to encourage their friend that is starting a business.

2. Internal Sources

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Retained profits: - It is an accepted practice to finance the fixed and working capital requirement from profits generated from the previous business activities of the venture.

Provisions: - Provision for tax and depreciation are another internal source of finance. Since business tax are payable a year after profits have been declared, this amount could serve as a source of fund for small business firm. Furthermore, annual provisions for depreciation represent cash retained by the enterprise over and above the normal undistributed profit. Reducing current asset: - Reducing current assets is a source of fund and large amount of money could be made available for financing the activities of the venture.

3. External Sources

The external sources of funds are those that are obtained outside the venture. The external sources can be subdivided into three namely: - Short-term finance, Medium term finance and Long term finance.

Record Keeping for Entrepreneurs

The term "record keeping", refers to the orderly and disciplined practice of storing business records. Record keeping is one of your most important responsibilities as a small business owner. The success of your business depends on creating and maintaining an effective record system, whether your business is a sole proprietorship, partnership, or corporation.

Record keeping ranges from simple manila folder filing systems to complex on-line electronic systems. Whether simple or complex, a record keeping system must be easy to use and provide adequate storage and retrieval of records. Most importantly, the record keeping system you choose must be suited to your particular business needs. The type, size, and complexity of your business, as well as your business' available resources, will help to determine the record keeping system best suited to you and your business.

Reasons for Keeping Good Records

Record keeping is not solely about fulfilling regulations or legal requirements. Record keeping is also about understanding your business, now and in the future. Reasons why you should keep good records include:

Detail Tracking: Owning a small business will require you to track a significant amount of information, such as customers, sales, and inventory. Without a proper record keeping system, you may lose sight of important business details, leading to problems with serving your customers. If you do not know details about your customers, such as who your customers are and what your customers like, your business may not be able to meet buyer demands.

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You risk disappointing a customer, maybe losing that customer forever. Staying informed of customers, their orders, and the inventory to provide for their purchases is challenging. Without a proper record keeping system, tracking important details of your business may be impossible.

Planning: Proper record keeping helps to plan your business' future. How does a business owner who fails to track his customers determine inventory needs for the next quarter, year, or longer? For example, what if you own a clothing store? Clothing store owners must anticipate the need for inventory throughout the year, due to seasonal cycles. By knowing if and when inventory will be needed, you can anticipate the need to finance inventory. You also can avoid carrying too little or too much inventory, such as extra swimsuits into the fall season.

Legal Compliance: As an owner, you will likely execute contracts and be required to hold various licenses and permits. As an employer, you will be required to maintain and report employee payroll for tax purposes.

Tax (Federal, State, and Local) Preparation: A well maintained record keeping system ensures that you are able to keep up with tax reporting requirements. For example, if you are an individual small business owner or contractor, then you are generally considered self-employed. Self-employed owners file a personal income tax return annually and pay estimated tax quarterly.

Definitions of Marketing

The term 'Marketing' has been defined in many ways by different authorities. It is useful to pause for a while and consult some of these definitions:

1. Marketing consists of the performance of business activities that direct the flow of goods and services from producer to consumer or user (American Marketing Association).
2. Marketing is the management function that organises and directs all business activities involved in assessing and converting consumer purchasing power into effective demand for a specific product or service, and in moving it to the final consumer or user so as to achieve the profit target or other objectives set by the company (British Institute of Marketing).
3. Marketing is a social process by which individuals and groups obtain what they need and want through creating and exchanging products and value with others (Kotler, 1984).
4. Marketing is a total system of business activities designed to plan, price, promote and distribute want-satisfying goods and services to present and potential customers (Stanton, 1964).
5. Marketing is the business function that identifies customers' needs and wants, determines which target markets the organisation can serve best, and designs appropriate products, services, and programmes to serve these markets (Kotler and Armstrong, 1996).

6. Marketing is the business process by which products are matched with markets and through which transfer of ownership is effected (Cundiff and Still, 1964).

Elements of Marketing

Needs: The most basic concept underlying marketing is that of human needs. Human needs are states of felt deprivation. These needs include basic physical needs for food, clothing, shelter and safety; social needs for belonging and affection; and individual needs for knowledge and self-expression. The needs are in-built in human nature itself. It is not invented by marketers. That is, they naturally exist in the composition of human biology and human condition. When the needs are not satisfied, a person will try to reduce the need or look for an object that will satisfy it.

Wants: Human wants are desires for specific satisfaction of deeper needs. For example, a man in the village needs rain and food and wants fertilizer. Also, a man may want yarn, rice, body cream, a bag, a wrist-watch, etc. but needs money. Human needs may be few, but their wants are numerous. These wants are continually shaped and re-shaped by social forces and institutions such as families, church, schools and business corporations. Marketers do not create needs; needs pre-exist in marketing. Marketers, along with other operatives in society, influence wants. They suggest and inform consumers about certain products and persuade them to purchase, stressing the benefits of such products.

Demands: People have almost unlimited wants but limited resources. They want to choose products that provide the most value and satisfaction for their money. When backed by purchasing power, wants become demand. That is, demand want for specific products that backed up by an ability and willingness to buy them. For example, many desire a car such as Mercedes Benz, Toyota, BMW, Honda, etc. but only a few are really willing and able to buy one. It is therefore important for marketing executives to measure not only how many people want their company's products, but also measure how many of them would actually be willing and able to buy them.

Products: People normally satisfy their wants and needs with products offered in the market. Broadly, a product can be defined as anything that can be offered to someone to satisfy a need or want. Specifically, a product can be defined as an object, service, activity, person, place, organization or idea. It should be noted that people do not buy physical objects for their own sake. For example, a lipstick is bought to supply service (beauty); toothpaste for whiter teeth — prevent germs or give fresh breath or sex appeal. The marketer's job is to sell the service packages built into physical products. If one critically looks at physical products, one realises that their

importance, lies not so much in owning them as in using them to satisfy our wants. For example, we do not buy a bed just to admire it, but because it aids resting better.

Exchange: Marketing takes place when people decide to satisfy needs and wants through exchange. Exchange is therefore the act of obtaining a desired object from someone by offering something in return. Exchange is only one of the many ways people can obtain a desired object. For example, hungry people can find food by hunting, fishing or gathering fruits. They could offer money, another food or a service in return for food. Marketing focuses on this last option. As a means of satisfying needs, exchange has much in its favour; people do not have to depend on others, nor must they possess the skills to produce every necessity for themselves. They can concentrate on making things they are good at in exchange for the needed items made by others. Thus, exchange allows a society to produce much more than it would.

Relationship Marketing

Relationship marketing is a process of creating, maintaining and enhancing strong, value-laden relationships with customers and other stockholders.

Markets

A market is defined as a set of all actual and potential buyers of a product and service. These buyers share particular needs or wants that can be satisfied through exchange. The size of a market depends on the need of people with common needs and has resources to engage in exchange, and is willing to offer these resources in exchange for what they want.

Originally, the term 'market' stood for the place where buyers and sellers gathered to exchange their goods, such as a village square. However, Economists often use the term to refer to a collection of buyers and sellers who transact in a particular product class, such as clothing market, electronic market, cattle market, etc.

Marketing Mix

The marketing mix refers to the set of actions, or tactics, that a company uses to promote its brand or product in the market. The 4Ps make up a typical marketing mix - Price, Product, Promotion and Place:

1. *Price:* refers to the value that is put for a product. It depends on costs of production, segment targeted, ability of the market to pay, supply - demand and a host of other direct and indirect factors. There can be several types of pricing strategies, each tied in with an overall business plan. Pricing can also be used as a demarcation, to differentiate and enhance the image of a product.

The Marketing Concept - The marketing concept is a business philosophy that arose to challenge the previous concepts. The marketing concept holds that the key achieving organizational goals consists in determining the needs and wants of target markets and delivering the desired satisfactions more effectively and efficiently than competitors.

Market Segmentation

Buyers in an environment have unique needs and wants; thus each buyer is potentially a separate market. Most often, sellers design a separate marketing program for each buyer. However, each buyer requires a unique combination of goods and service as the buying habit and motives differ. In order to meet the needs of consumers, marketers divide the total markets into smaller segments, on the basis of the kind of similar demands for a product. Also, most companies realise that they cannot compete in meeting all the different shades of unique demands in an economy, so they aim at focusing on few segments that seem more profitable to them.

Market segmentation is therefore the process of dividing consumers in a given economy into target markets. It is aimed at dividing the total market in an economy where demands for a given product are heterogeneous into homogeneous demand groups or segments, for the purpose of providing unique or specific products or services for each segment.

Basis of Segmenting Business/Consumer Markets

Consumer markets can be segmented through a single variable or a combination of variables. However, it should be noted that segmentation of consumer markets vary from company to company and product to product. The general segment variables are as follows.

1. **Geographic Segmentation:** Geographic segmentation entails dividing a market into different geographic units such as nations, states, regions, counties, cities, etc. A company may decide to operate in one or a few geographical areas, or to operate in all areas, but pay attention to geographical differences in needs and wants.
2. **Demographic Segmentation:** Demographic segmentation consists of dividing the market into groups based on variables such as age, gender, family size, family life cycle, income, occupation, education, religion, race, and nationality. *Psychographic*
3. **Segmentation:** Psychographic segmentation means dividing buyers into different groups based on social class, lifestyle, or personality; people in the same demographic groups can have different psychographic makeup. Social class, on the other hand, influences the types of good and service consumed.

Behavioral. Behavioral segmentation implies dividing buyers into groups based on their knowledge, attitude, uses, or responses to a product.